the services of distributors and advisors who can help you select fund schemes that work for your desired outcomes. Think of advisors as the pilot flying you from one destination to another, while you sit back and relax on the journey. Like flights that face turbulence and test the abilities of pilots, so do markets by testing the capabilities of advisors and distributors who can help you navigate uncertain market conditions.

Often, investors cite the example of driving a car on their own and hence feel they can manage their investments on their own. Yes, this is possible, as long as every individual driving a car can confidently say they never met with an accident. Just the way self-driven cars are prone to accidents, so are 'self-directed' investment decisions. The trouble with self-directed investing is that you may not realise when and where you committed an error and what the remedy is. So, sometimes, even though you may be an expert, there is an advantage in having a driver; someone who can guide you with investments, especially during difficult times.

## A SYSTEMATIC FRAMEWORK

Having a structure to the way you invest can be very helpful in the long run. Not only will you have a method, you will also have ways to improvise over time as you learn from your experiences. In this context, the SIP (systematic investment plan) with mutual funds has managed to catch the imagination of scores of Indians. The reason for the popularity of SIPs is their simple construct.

An SIP is a financial planning tool that helps investors create wealth and achieve their long-term financial goals. You contribute a fixed amount in a mutual fund scheme at regular intervals. In turn, the SIP inculcates discipline in your investments and makes you invest regularly. For salaried investors, SIPs are a perfect solution to the perennial problem of when to invest. As one receives a regular income each month, it makes immense sense to invest every month. This regular investing habit can be easily inculcated with SIPs (see *Advantage of SIPs*).

The good thing about staying invested through market cycles is the benefit from 'rupee cost averaging'. You land up buying more units in the mutual fund scheme you invest in when the markets are down and get fewer units when the markets are up. Over long periods, this effectively means that you have a lower average cost per unit over a period of time (see *Rupee Cost Averaging*).

**SIPs ALSO HELP YOU OVERCOME THE TEMPTATION OF MARKET TIMING, WHICH IS NOTHING BUT THE RISK OF ENTERING THE MARKET AT A HIGH PRICE WHICH MAY REDUCE LONG-TERM RETURNS**

SIPs also help you overcome the temptation of market timing, which is nothing but the risk of entering the market at a high price, which may reduce long-term returns, or the risk of losing out by waiting too long for a low level to enter. Many investors who try to time the market correctly have either missed out on big market rallies or have invested a lump-sum amount just when the markets have peaked. SIPs help investors ride the market volatility by averaging out the cost as they invest a fixed sum regularly at various levels. Moreover, you can start investing through mutual fund SIPs with as little as Rs 500 a month.

Over the years now, there have been several innovations with SIP investing, which has given rise to many variants (see *The Six SIP Variants*). While there is merit in each of these variants, they are all based on the simple philosophy of investing regularly over the long term for one to achieve one's financial goals. Based on what works for each individual, one can opt for an SIP to suit their financial need, temperament and convenience.

Like with everything else that is good, there are myths that try to debunk the goodness of SIPs. However, like every myth, the ones surrounding SIPs can also be busted to realise that it is perhaps the most simplified route to investing and not an

**RUPEE COST AVERAGING**

| Year | Sensex NAV | MONTHLY SIP (₹) | SENSEX UNITS | TOTAL UNITS |
|---|---|---|---|---|
| Jan. '21 | 46,285.77 | 10,000 | 0.22 | 0.22 |
| Feb. '21 | 49,099.99 | 10,000 | 0.20 | 0.42 |
| Mar. '21 | 49,509.15 | 10,000 | 0.20 | 0.62 |
| Apr. '21 | 48,782.36 | 10,000 | 0.20 | 0.83 |
| May. '21 | 51,937.44 | 10,000 | 0.19 | 1.02 |
| Jun. '21 | 52,482.71 | 10,000 | 0.19 | 1.21 |
| Jul. '21 | 52,586.84 | 10,000 | 0.19 | 1.40 |
| Aug. '21 | 57,552.39 | 10,000 | 0.17 | 1.57 |
| Sep. '21 | 59,126.36 | 10,000 | 0.17 | 1.74 |
| Oct. '21 | 59,306.93 | 10,000 | 0.17 | 1.91 |
| Nov. '21 | 57,064.87 | 10,000 | 0.18 | 2.09 |
| Dec. '21 | 58,253.82 | 10,000 | 0.17 | 2.26 |

*Each month the Rs 10,000 SIP purchases a different number of units in the Sensex. The number of units go up the month the index falls and go down when the index rises. This way, the investment per unit averages out over the year*